

TW Trading Risk Management Handbook

TW Trades Library • Educational Edition

Risk Per Trade: Set a fixed risk budget before entering. Do not increase risk because a setup feels highly convincing.

Position Size: Conceptually, position size equals money risk divided by the monetary value of the stop distance. Exact calculations depend on the instrument and broker.

Stop-Loss: A stop should represent thesis invalidation. Moving it farther away changes the original risk.

Drawdown: A 50% drawdown requires a 100% gain on remaining capital to return to the starting level. Capital preservation matters.

Correlation: Several positions may share the same underlying driver. Consider combined exposure rather than treating every position as independent.

Circuit Breakers: Define daily and weekly loss limits and a maximum number of attempts before trading begins.

Review: Track setup, entry, stop, target, size, risk, result and checklist compliance. Review process separately from outcome.

Educational notice: This handbook is educational material, not personalized financial advice. Leveraged trading can result in substantial losses.